

PROPOSED
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2766
(Reference to printed bill)

1 Strike everything after the enacting clause and insert:

2 "Section 1. Section 13-4296, Arizona Revised Statutes, is amended
3 to read:

4 13-4296. Erroneous convictions; compensation; pilot program;
5 definitions

6 A. Notwithstanding any other law, a claimant may bring an action in
7 superior court seeking compensation from this state if the claimant
8 establishes, by a preponderance of the evidence, that all of the following
9 apply:

10 1. The claimant was convicted of a felony and subsequently
11 incarcerated.

12 2. The claimant did not commit the crime or crimes for which the
13 claimant was convicted.

14 3. The claimant did not commit perjury, fabricate evidence or by
15 the claimant's own conduct cause or bring about the conviction. A
16 confession or admission later found to be false or a guilty plea does not
17 constitute committing perjury, fabricating evidence or causing or bringing
18 about the conviction.

19 4. One of the following applies:

20 (a) The claimant was pardoned based on innocence.

21 (b) The claimant's judgment of conviction was reversed or vacated
22 and the charges were dismissed or the claimant was found not guilty on
23 retrial.

24 (c) The claimant's judgment of conviction was reversed or vacated
25 and the claimant entered an Alford plea or a plea of no contest, while
26 maintaining a claim of innocence, RESULTING IN THE CLAIMANT'S RELEASE FROM
27 INCARCERATION after the conviction was overturned, reversed or vacated on
28 direct appeal or postconviction review when the claimant would otherwise
29 have been entitled to a new trial.

30 B. All pleadings shall be entitled "in the matter of the erroneous
31 conviction of ____". The claimant shall serve A COPY OF THE CLAIM ON the
32 attorney general ~~with a copy of the claim~~. The SUPERIOR court shall
33 decide the claim. The Arizona rules of civil procedure apply. The action
34 shall be brought in the county of conviction or in Maricopa county.

35 C. The claimant shall bring the claim within two years after one of
36 the following occurs:

37 1. The claimant's conviction is overturned or vacated and the
38 charges against the claimant are dismissed, the claimant is found not

1 guilty on retrial or the claimant ~~enters a plea of~~ PLED no contest,
2 RESULTING IN THE CLAIMANT'S RELEASE FROM INCARCERATION, whichever occurs
3 later.

4 2. The claimant is pardoned based on innocence.

5 3. January 1, 2026 if the claimant was convicted, incarcerated and
6 released from custody before January 1, 2026.

7 D. The attorney general shall respond within ~~thirty~~ SIXTY days to
8 the claim. The attorney general may request a single thirty-day extension
9 to respond on a showing of good cause. The parties may stipulate to an
10 additional extension of time TAKING INTO CONSIDERATION THE AGE OF THE CASE
11 AND THE COMPLEXITY OF THE FACTS AND LEGAL ISSUES RAISED. ~~The attorney~~
12 ~~general may include in the response a request that the court make findings~~
13 ~~of fact that a city or county employee committed harmful error or~~
14 ~~misconduct. If the attorney general requests findings of fact regarding~~
15 ~~whether a city or county employee committed harmful error or misconduct,~~
16 ~~the attorney general has the burden of proof by a preponderance of the~~
17 ~~evidence.~~

18 E. If the attorney general does not object in the response OR
19 OTHERWISE SEEK DISMISSAL OF THE CLAIM, the court shall enter an order
20 granting the erroneous conviction claim. ON ITS OWN MOTION OR ON THE
21 MOTION OF THE ATTORNEY GENERAL, THE COURT MAY DISMISS THE COMPLAINT IF THE
22 COURT DETERMINES THAT THE CLAIMANT DOES NOT STATE A CLAIM FOR WHICH RELIEF
23 MAY BE GRANTED. If the attorney general objects, the court shall order
24 and hold an evidentiary hearing. A court order that grants or denies the
25 claim shall include findings of fact and conclusions of law. ~~If requested~~
26 ~~by the attorney general, the court shall make findings of fact regarding~~
27 ~~whether a city or county employee committed harmful error or misconduct~~
28 ~~that was the proximate cause of the pardoning, reversal or vacating of a~~
29 ~~conviction. If not requested by the attorney general, the court, on its~~
30 ~~own motion, may find by a preponderance of the evidence that a city or~~
31 ~~county employee committed harmful error or misconduct that was the~~
32 ~~proximate cause of the pardoning, reversal or vacating of a~~
33 ~~conviction.~~ The court may consider any findings of fact developed on the
34 record of the underlying criminal offense related to the conviction. ~~or~~
35 ~~actions by city or county employees. The court shall notify the~~
36 ~~appropriate city or county prosecuting agency if the attorney general~~
37 ~~requests or the court makes a finding that a city or county employee~~
38 ~~committed harmful error or misconduct that was the proximate cause of the~~
39 ~~pardoning, reversal or vacating of the conviction and allow the city or~~
40 ~~county to respond within fourteen days. The city or county may not~~
41 ~~request to intervene in the claimant's action seeking compensation and may~~
42 ~~only respond as to whether the employee committed harmful error or~~
43 ~~misconduct that was the proximate cause of the pardoning, reversal or~~
44 ~~vacating of the conviction by a preponderance of the evidence.~~

1 F. If the court enters an order granting the claim, the court shall
2 award compensation ONLY FOR THE AMOUNTS ACTUALLY DUE TO THE CLAIMANT FROM
3 THIS STATE AND MAY AWARD INTEREST as follows:

4 1. For each year the claimant was incarcerated, two hundred percent
5 of the median household income in this state as it existed on the date the
6 claimant was incarcerated and as determined by ~~the United States~~
7 ~~department of housing and urban development and adjusted for inflation~~
8 ~~using the consumer price index for urban consumers~~ THIS STATE'S MEDIAN
9 HOUSEHOLD INCOME AS PUBLISHED IN THE AMERICAN COMMUNITY SURVEY OF THE
10 UNITED STATES BUREAU FOR THE YEAR THE ORDER OF ELIGIBILITY IS ISSUED. The
11 amount for any partial year shall be prorated in order to compensate the
12 claimant only for the portion of the year in which the claimant was
13 incarcerated. The claimant may not receive compensation for any period of
14 time for which the claimant was concurrently serving another sentence for
15 a conviction of another offense for which the claimant was lawfully
16 incarcerated. THE COURT MAY AWARD INTEREST ON THE AMOUNT AWARDED PURSUANT
17 TO THIS PARAGRAPH FROM THE TIME OF ENTRY UNTIL THE JUDGMENT IS PAID.

18 2. The claimant may request more than the amount of compensation
19 awarded pursuant to paragraph 1 of this subsection. Any additional amount
20 of compensation awarded to the claimant shall be paid from the erroneous
21 convictions fund pursuant to subsection M of this section. If the
22 claimant requests additional compensation, the court must hold an
23 evidentiary hearing. The court shall consider the pro ~~per~~ SE status of
24 the claimant in determining whether additional compensation is warranted.
25 The claimant may present evidence of other damages the claimant suffered
26 arising from or related to the claimant's arrest, prosecution, conviction
27 and incarceration. The court may award up to \$500,000 in additional
28 compensation. THE COURT MAY AWARD INTEREST ON THE AMOUNT AWARDED PURSUANT
29 TO THIS PARAGRAPH FROM THE TIME OF ENTRY UNTIL THE JUDGMENT IS PAID.

30 3. \$25,000 per year for each year the claimant was incarcerated on
31 death row or each year the claimant was required to register pursuant to
32 section 13-3821. THE COURT MAY AWARD INTEREST ON THE AMOUNT AWARDED
33 PURSUANT TO THIS PARAGRAPH FROM THE TIME OF ENTRY UNTIL THE JUDGMENT IS
34 PAID.

35 4. Reimbursement of not more than \$100,000 for reintegrative
36 services and mental and physical health care costs that the claimant
37 incurred for the time period between the claimant's release from custody
38 and the entry of judgment.

39 5. Reimbursement for unreimbursed costs, fines, fees or surcharges
40 that were imposed on the claimant as a result of the erroneous conviction
41 and that were paid by or on behalf of the claimant.

42 6. Reimbursement for unreimbursed restitution that was paid by or
43 on behalf of the claimant as a result of the erroneous conviction.

44 7. Reasonable attorney fees and costs of not more than \$25,000
45 unless the court authorizes a greater reasonable total on a finding of
46 good cause shown.

47 G. Compensation awarded to the claimant pursuant to this section
48 does not constitute gross income for the purposes of title 42 or 43.

1 H. The court shall order that the award be paid in one lump sum to
2 the claimant AND SHALL ENTER JUDGMENT AS REQUIRED BY THE ARIZONA RULES OF
3 CIVIL PROCEDURE.

4 I. In addition to the compensation awarded pursuant to subsection F
5 of this section, the claimant is entitled to the following services from
6 licensed or accredited state institutions, agencies or providers within
7 this state:

8 1. Reimbursement for mental health treatment for up to fifty-two
9 clinical hours at a maximum of \$250 per hour within twelve months after
10 the court's order awarding compensation.

11 2. Reimbursement for up to one hundred twenty credit hours at any
12 postsecondary educational institution, vocational school or trade school.

13 3. Reimbursement for up to four financial planning or literacy
14 classes or consultations within twelve months after the court's order
15 awarding compensation.

16 J. If, at the time the court enters a judgment pursuant to
17 subsection F of this section, the claimant has won a monetary judgment
18 against this state or any political subdivision of this state in a civil
19 action related to the erroneous conviction or has entered into a
20 settlement agreement with this state or any political subdivision of this
21 state related to the erroneous conviction, the court shall deduct the
22 amount awarded in the action or the amount received in the settlement
23 agreement, less any sums paid to an attorney or for costs in litigating
24 the other civil action or obtaining the settlement agreement, from the
25 monies that the claimant is entitled to receive under this section. The
26 court shall include in the judgment an award to this state of any amount
27 that is deducted pursuant to this subsection.

28 K. If subsection J of this section does not apply, any future
29 damages that are awarded to the claimant resulting from an action by the
30 claimant against any unit of government in this state by reason of the
31 erroneous conviction shall be offset by the compensation award received
32 under this section.

33 L. The compensation award may not be offset by any expenses
34 incurred by this state or any political subdivision of this state,
35 including the following:

36 1. Any expenses that this state or a political subdivision of this
37 state incurred to secure the claimant's custody or to feed, clothe or
38 provide medical services for the claimant.

39 2. The value of any services or reduction in fees for service, or
40 the value thereof to be provided to the claimant that may be awarded to
41 the claimant pursuant to this section.

42 M. If the court finds that the claimant is entitled to
43 compensation, the court shall issue a finding that the claimant was
44 erroneously convicted and, as a result, served a specific amount of time
45 erroneously incarcerated. The clerk of the court shall send a certified
46 copy of the order to the department of administration for payment from the
47 erroneous convictions fund established pursuant to BY section 41-710.03.
48 If sufficient monies are available, the department of administration shall

1 remit from the erroneous convictions fund the payment to the claimant
2 within forty-five days. Any claims for reimbursement under subsection I
3 of this section shall be submitted to the DEPARTMENT OF administration for
4 approval and, if sufficient monies are available, paid from the erroneous
5 convictions fund within ~~fourteen~~ FORTY-FIVE days after receipt. ~~If the~~
6 ~~court made findings of fact that a city employee committed harmful error~~
7 ~~or misconduct that was the proximate cause of the pardoning, reversal or~~
8 ~~vacating of the conviction, the city shall reimburse all payments made to~~
9 ~~the claimant from the erroneous convictions fund. If the court made~~
10 ~~findings of fact that a county employee committed harmful error or~~
11 ~~misconduct that was the proximate cause of the pardoning, reversal or~~
12 ~~vacating of the conviction, the county of conviction shall reimburse all~~
13 ~~payments made to the claimant from the erroneous convictions fund. For~~
14 ~~claims paid pursuant to subsection F of this section, the city or county~~
15 ~~shall make the reimbursement required by this subsection to the erroneous~~
16 ~~convictions-fund within forty-five days after the payment from the~~
17 ~~erroneous convictions fund to the claimant. For claims paid pursuant to~~
18 ~~subsection I of this section, the city or county shall make the~~
19 ~~reimbursement required by this subsection to the erroneous convictions~~
20 ~~fund within fourteen days after the payment from the erroneous convictions~~
21 ~~fund to the claimant.~~

22 N. Notwithstanding any other law, on entry of an erroneous
23 conviction ruling, the court shall:

24 1. Order the claimant's associated convictions and arrests expunged
25 from all applicable state and federal systems and the records sealed. The
26 court shall enter the expungement order for the offense or offenses for
27 which the ruling applies regardless of whether the claimant has a
28 historical prior felony conviction. The expungement order shall state all
29 of the following:

30 (a) The claimant's current full name.

31 (b) The claimant's full name at the time of arrest and conviction,
32 if different than the claimant's current name.

33 (c) The claimant's sex, race and date of birth.

34 (d) The offense for which the claimant was arrested and convicted.

35 (e) The dates of the claimant's arrest and conviction.

36 (f) The identity of the arresting law enforcement agency and
37 convicting court.

38 (g) That the order expunges any record of the claimant's arrest,
39 charge, conviction or adjudication and sentence.

40 (h) That the claimant's civil rights, including the right to
41 possess firearms, are restored, unless the claimant is otherwise not
42 eligible for the restoration of civil rights on grounds other than the
43 conviction at issue.

44 (i) That the clerk of the court shall notify the department of
45 public safety, the prosecuting agency and the arresting law enforcement
46 agency, if applicable, of the expungement order.

47 (j) That the clerk of the court shall seal the claimant's records
48 relating to the expunged arrest, charge, conviction or adjudication and

1 sentence and allow the claimant's records to be accessed only by the
2 claimant or the claimant's attorney.

3 2. Direct the department of public safety to expunge and destroy
4 any biological samples, including DNA and fingerprint samples, received by
5 the department pursuant to section 13-610. The clerk of the court shall
6 send a certified copy of the order to the department of public safety,
7 which shall implement the order and provide confirmation of the action to
8 the court. This paragraph does not require the department of public
9 safety to expunge and destroy samples or a profile record that is
10 associated with the claimant and that relates to an unrelated offense.

11 O. The department of public safety shall seal and separate the
12 expunged record from the department's records and shall inform all
13 appropriate state and federal law enforcement agencies of the expungement
14 at no cost to the claimant. The state department of corrections shall
15 seal and separate the expunged record from the department's records and
16 may not make information related to the expunged conviction publicly
17 available through any department database.

18 P. The arresting and prosecuting agencies shall clearly identify in
19 each agency's files and electronic records that the claimant was
20 erroneously convicted and that the arrest, charge, conviction or
21 adjudication and sentence are expunged and may not make any records of the
22 expunged arrest, charge, conviction or adjudication and sentence available
23 as a public record to any person except to the claimant or the claimant's
24 attorney.

25 Q. Pursuant to the expungement order, the claimant shall be treated
26 as not having been arrested for, adjudicated delinquent for or convicted
27 of the expunged offense. The expunged arrest, charge, adjudication,
28 conviction or sentence may not be used in a subsequent prosecution by a
29 prosecuting agency or court for any purpose. The claimant may state that
30 the claimant has never been arrested for, charged with, adjudicated
31 delinquent for, convicted of or sentenced for the offense that is the
32 subject of the expungement.

33 R. The claimant may request that this action and erroneous
34 conviction ruling be sealed.

35 S. The court's decision to grant or deny an erroneous conviction
36 claim is not res judicata on any other proceedings.

37 ~~T. If the court denies an erroneous conviction claim, the claimant~~
38 ~~may file a direct appeal pursuant to section 13-4033, subsection A,~~
39 ~~paragraph 3.~~

40 T. EACH PARTY HAS A RIGHT TO APPEAL THE FINAL JUDGMENT ON AN
41 ERRONEOUS CONVICTION CLAIM.

42 U. If the victim has made a request for postconviction notice, the
43 attorney general shall provide the victim with notice of the claimant's
44 claim and of the rights provided to the victim in this section. The
45 rights and duties prescribed in chapter 40 of this title continue to be
46 enforceable throughout the proceedings held pursuant to this section.

1 V. If the court finds that the claimant is entitled to a judgment,
2 a victim as defined in section 13-4401 is entitled to reimbursement for
3 mental health treatment for up to fifty-two clinical hours within twelve
4 months after the court's order awarding compensation at a maximum of \$250
5 per hour pursuant to the victim compensation and assistance fund
6 established by section 41-2407. The victim does not need to establish any
7 other eligibility requirements to receive reimbursement for mental health
8 services.

9 W. THIS STATE HAS THE RIGHT OF SUBROGATION TO THE EXTENT OF ANY
10 AMOUNT AWARDED PURSUANT TO THIS SECTION, AGAINST ANY PERSON WHO COMMITTED
11 HARMFUL ERROR OR WHO ENGAGED IN MISCONDUCT THAT DIRECTLY RESULTED IN OR
12 CONTRIBUTED TO THE WRONGFUL CONVICTION AND IMPRISONMENT OF THE CLAIMANT.

13 X. FOR THE PURPOSES OF THIS SECTION:

14 1. "HARMFUL ERROR":

15 (a) MEANS AN ERROR THAT AFFECTED THE CLAIMANT'S SUBSTANTIVE RIGHTS.

16 (b) DOES NOT INCLUDE INNOCENT, INADVERTENT OR NEGLIGENT CONDUCT
17 THAT AFFECTED THE CLAIMANT'S SUBSTANTIVE RIGHTS.

18 2. "MISCONDUCT" MEANS AN INTENTIONAL, RECKLESS OR GROSSLY NEGLIGENT
19 ACTION OR ACTIONS THAT DEMONSTRATE EITHER:

20 (a) A DESIRE TO ACHIEVE AN IMPROPER RESULT.

21 (b) A PATTERN OF DISREGARD FOR LEGAL OR ETHICAL OBLIGATIONS.

22 Sec. 2. Section 41-710.03, Arizona Revised Statutes, is amended to
23 read:

24 41-710.03. Erroneous convictions fund; appropriations;
25 payment prioritization

26 A. The erroneous convictions fund is established consisting of
27 monies appropriated to the fund by the legislature. The department of
28 administration shall administer the fund. Monies in the fund are
29 continuously appropriated and are exempt from the provisions of section
30 35-190 relating to lapsing of appropriations.

31 B. BEGINNING IN FISCAL YEAR 2027-2028 AND EACH FISCAL YEAR
32 THEREAFTER, IF THE BALANCE OF THE ERRONEOUS CONVICTIONS FUND IS LESS THAN
33 \$3,000,000 ON JANUARY 1, AN AMOUNT EQUAL TO \$3,000,000 MINUS THE REMAINING
34 BALANCE OF THE ERRONEOUS CONVICTIONS FUND ON JANUARY 1 OF EACH YEAR IS
35 APPROPRIATED FROM THE STATE GENERAL FUND TO THE ERRONEOUS CONVICTIONS
36 FUND.

37 ~~B.~~ C. The department of administration shall use the monies
38 deposited in the erroneous convictions fund to ~~fund claims brought~~ PAY
39 COMPENSATION AWARDED pursuant to title 13, chapter 38, article 36. AN
40 AGENCY, BOARD, COMMISSION OR DEPARTMENT OF THIS STATE MAY NOT USE MONIES
41 FROM ANY FUND OR SOURCE OTHER THAN THE ERRONEOUS CONVICTIONS FUND TO PAY
42 ANY CLAIM AWARDED PURSUANT TO TITLE 13, CHAPTER 38, ARTICLE 36. THIS
43 STATE IS NOT LIABLE FOR ANY AMOUNT TO PAY ANY CLAIM AWARDED PURSUANT TO
44 TITLE 13, CHAPTER 38, ARTICLE 36 IN EXCESS OF THE MONIES AVAILABLE IN THE
45 ERRONEOUS CONVICTIONS FUND.

1 D. THE DEPARTMENT OF ADMINISTRATION SHALL PRIORITIZE THE PAYMENT OF
2 CLAIMS AWARDED PURSUANT TO TITLE 13, CHAPTER 38, ARTICLE 36 IN THE ORDER
3 IN WHICH THE CLAIMANT AWARDS ARE RECEIVED BY THE DEPARTMENT. THE
4 DEPARTMENT SHALL MAKE FULL OR PARTIAL PAYMENTS ON OUTSTANDING UNPAID
5 AWARDS IN ORDER OF PRIORITY AS ADDITIONAL MONIES BECOME AVAILABLE IN THE
6 ERRONEOUS CONVICTIONS FUND."
7 Amend title to conform

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